

SEMI-ANNUAL FINANCIAL STATEMENTS

BMO MSCI USA Selection Equity Index ETF (ESGY/ESGY.F)

(formerly BMO MSCI USA ESG Leaders Index ETF)

June 30, 2026



Exchange Traded Funds

BMO MSCI USA Selection Equity Index ETF

(formerly BMO MSCI USA ESG Leaders Index ETF) (unaudited)

Statement of Financial Position

(All amounts in thousands of Canadian dollars, except per unit data)

As at	June 30 2026	December 31 2025
Assets		
Current Assets		
Cash	396	271
Investments		
Non-derivative financial assets	200,967	180,324
Derivative assets	2	145
Receivable for investments sold	371	92
Dividends receivable	83	81
Total assets	201,819	180,913
Liabilities		
Current Liabilities		
Payable for investments purchased	—	0
Derivative liabilities	177	11
Distributions payable	322	299
Accrued expenses	108	104
Total liabilities	607	414
Net assets attributable to holders of redeemable units	201,212	180,499
Net assets attributable to holders of redeemable units		
Listed CAD Units	195,591	172,759
Listed Hedged Units	5,621	7,740
Net assets attributable to holders of redeemable units per unit		
Listed CAD Units	\$ 75.66	\$ 66.83
Listed Hedged Units	\$ 55.11	\$ 50.92

Statement of Comprehensive Income

(All amounts in thousands of Canadian dollars, except per unit data)

For the periods ended	June 30 2026	June 30 2025
Income		
Interest income	2	1
Dividend income	1,086	1,099
Other changes in fair value of investments and derivatives		
Net realized gain	10,712	7,329
Change in unrealized appreciation (depreciation)	12,506	(7,754)
Net gain in fair value of investments and derivatives	24,306	675
Securities lending (note 8)	2	0
Foreign exchange gain (loss)	9	(10)
Total other income (loss)	11	(10)
Total income	24,317	665
Expenses		
Management fees (note 6)	207	191
Management fees reduction (note 6)	—	(15)
Independent review committee fees (note 6)	0	0
Withholding taxes	154	139
ETF summary document fees	0	0
Unitholder reporting costs	0	0
Commissions and other portfolio transaction costs (note 6)	0	0
Total expenses	361	315
Increase in net assets attributable to holders of redeemable units	23,956	350
Increase (decrease) in net assets attributable to holders of redeemable units		
Listed CAD Units	23,588	(196)
Listed Hedged Units	368	546
Increase (decrease) in net assets attributable to holders of redeemable units per unit (note 8)		
Listed CAD Units	9.07	(0.07)
Listed Hedged Units	2.91	4.52

BMO MSCI USA Selection Equity Index ETF

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Statement of Changes in Net Assets Attributable to Holders of Redeemable Units

(All amounts in thousands of Canadian dollars)

For the periods ended	June 30 2026	June 30 2025	For the periods ended	June 30 2026	June 30 2025
Listed CAD Units			Total Fund		
Net assets attributable to holders of redeemable units at beginning of period	172,759	174,216	Net assets attributable to holders of redeemable units at beginning of period	180,499	178,707
Increase (decrease) in net assets attributable to holders of redeemable units	23,588	(196)	Increase in net assets attributable to holders of redeemable units	23,956	350
Distributions to holders of redeemable units from:			Distributions to holders of redeemable units from:		
Net investment income	(591)	(126)	Net investment income	(613)	(137)
Return of capital	(41)	(503)	Return of capital	(42)	(517)
Management fee	—	(15)	Management fee	—	(15)
Total distributions to holders of redeemable units	(632)	(644)	Total distributions to holders of redeemable units	(655)	(669)
Redeemable unit transactions			Redeemable unit transactions		
Proceeds from redeemable units issued	13,190	14,525	Proceeds from redeemable units issued	20,815	16,492
Redemption of redeemable units	(13,314)	(22,939)	Redemption of redeemable units	(23,403)	(22,939)
Net decrease from redeemable unit transactions	(124)	(8,414)	Net decrease from redeemable unit transactions	(2,588)	(6,447)
Net increase (decrease) in net assets attributable to holders of redeemable units	22,832	(9,254)	Net increase (decrease) in net assets attributable to holders of redeemable units	20,713	(6,766)
Net assets attributable to holders of redeemable units at end of period	195,591	164,962	Net assets attributable to holders of redeemable units at end of period	201,212	171,941
Listed Hedged Units					
Net assets attributable to holders of redeemable units at beginning of period	7,740	4,491			
Increase in net assets attributable to holders of redeemable units	368	546			
Distributions to holders of redeemable units from:					
Net investment income	(22)	(11)			
Return of capital	(1)	(14)			
Total distributions to holders of redeemable units	(23)	(25)			
Redeemable unit transactions					
Proceeds from redeemable units issued	7,625	1,967			
Redemption of redeemable units	(10,089)	—			
Net (decrease) increase from redeemable unit transactions	(2,464)	1,967			
Net (decrease) increase in net assets attributable to holders of redeemable units	(2,119)	2,488			
Net assets attributable to holders of redeemable units at end of period	5,621	6,979			

The accompanying notes are an integral part of these financial statements.

BMO MSCI USA Selection Equity Index ETF

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Statement of Cash Flows

(All amounts in thousands of Canadian dollars)

For the periods ended	June 30 2026	June 30 2025
Cash flows from operating activities		
Increase in net assets attributable to holders of redeemable units	23,956	350
Adjustments for:		
Foreign exchange (gain) loss on cash	(2)	0
Net realized gain on sale of investments and derivatives	(10,712)	(7,329)
Change in unrealized (appreciation) depreciation of investments and derivatives	(12,506)	7,754
(Increase) decrease in dividends receivable	(2)	16
Increase (decrease) in accrued expenses	4	(9)
Purchases of investments ^{<}	(11,425)	(5,848)
Proceeds from sale and maturity of investments ^{>}	11,422	5,443
Cash inflows on derivatives	51	45
Net cash from operating activities	786	422
Cash flows from financing activities		
Distributions paid to holders of redeemable units, net of reinvested distributions	(632)	(683)
(Payments) proceeds from issuances of redeemable units ^{<}	(21)	118
Amounts paid on redemption of redeemable units ^{>}	(10)	(53)
Net cash used in financing activities	(663)	(618)
Foreign exchange gain (loss) on cash	2	(0)
Net increase (decrease) in cash	123	(196)
Cash at beginning of period	271	276
Cash at end of period	396	80

Supplementary Information

Interest received, net of withholding taxes [*]	2	1
Dividends received, net of withholding taxes [*]	930	976

[<] Excludes in-kind transactions of \$20,836 and \$16,374 for the periods ended June 30, 2026 and June 30, 2025.

[>] Excludes in-kind transactions of \$23,393 and \$22,886 for the periods ended June 30, 2026 and June 30, 2025.

^{*} These items are from operating activities.

BMO MSCI USA Selection Equity Index ETF
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Schedule of Investment Portfolio

As at June 30, 2026 (All amounts in thousands of Canadian dollars, unless otherwise noted)

	Number of Shares or Units	Cost* (\$)	Fair Value (\$)		Number of Shares or Units	Cost* (\$)	Fair Value (\$)
EQUITIES							
Communication Services — 12.8%							
Alphabet Inc., Class A.....	24,265	5,480	12,298	Clorox Company, The.....	504	101	68
Alphabet Inc., Class C.....	19,263	4,293	9,653	Coca-Cola Company, The.....	16,160	1,330	1,863
AT&T Inc.....	29,152	997	856	Colgate-Palmolive Company.....	3,163	346	411
Comcast Corporation, Class A.....	15,159	716	528	Costco Wholesale Corporation.....	1,845	2,433	2,448
Electronic Arts Inc.....	983	196	286	Dollar General Corporation.....	897	113	147
Twenty-First Century Fox, Inc., Class A.....	872	50	64	Estee Lauder Companies Inc., The, Class A.....	992	114	11
Twenty-First Century Fox, Inc., Class B.....	637	36	42	General Mills, Inc.....	2,206	164	109
Verizon Communications Inc.....	17,538	1,129	1,053	Hershey Company, The.....	638	171	159
Walt Disney Company, The.....	7,432	1,364	1,015	Kenvue Inc.....	7,815	247	212
		14,261	25,795	Keurig Dr Pepper Inc.....	5,287	233	245
				Kimberly-Clark Corporation.....	1,361	228	212
				Kroger Co., The.....	2,293	159	181
				McCormick & Company, Inc.....	1,034	109	74
				Monster Beverage Corporation.....	3,031	257	413
				PepsiCo, Inc.....	5,699	1,116	1,094
				Procter & Gamble Company, The.....	9,722	1,885	2,022
				Sysco Corporation.....	2,000	219	237
				Target Corporation.....	1,867	373	346
						9,795	10,575
Consumer Discretionary — 9.4%				Energy — 1.9%			
Aptiv PLC.....	900	115	78	Baker Hughes Company, Class A.....	4,076	197	321
Autozone, Inc.....	69	271	313	Cheniere Energy, Inc.....	843	173	286
Best Buy Co., Inc.....	829	95	89	Halliburton Company.....	3,436	152	165
Booking Holdings Inc.....	3,255	663	823	Marathon Petroleum Corporation.....	1,243	204	451
Burlington Stores, Inc.....	264	90	119	ONEOK, Inc.....	2,607	240	321
Carnival Corporation Ltd.....	5,350	207	217	Phillips 66.....	1,674	245	401
Carvana Co., Class A.....	2,699	272	252	SLB Ltd.....	6,216	306	410
Chipotle Mexican Grill, Inc.....	5,448	239	263	Targa Resources Corp.....	852	143	324
D.R. Horton, Inc.....	1,109	225	256	TechnipFMC plc.....	1,669	157	157
Darden Restaurants, Inc.....	480	112	140	Valero Energy Corporation.....	1,269	202	469
Deckers Outdoor Corporation.....	611	81	86	Williams Companies, Inc., The.....	5,084	291	536
Dick's Sporting Goods, Inc.....	274	84	88			2,310	3,841
Domino's Pizza, Inc.....	147	63	62				
eBay Inc.....	1,789	160	283				
Expedia Group, Inc.....	491	153	178				
Garmin Ltd.....	679	199	229				
Genuine Parts Company.....	562	91	94				
Hilton Worldwide Holdings Inc.....	973	252	456				
Home Depot, Inc., The.....	4,148	1,795	2,075				
Hyatt Hotels Corporation, Class A.....	147	37	40				
Lowe's Companies, Inc.....	2,321	644	726				
lululemon athletica Inc.....	451	165	73				
McDonald's Corporation.....	2,963	1,021	1,136				
MercadoLibre, Inc.....	189	439	455				
NVR, Inc.....	12	91	116				
O'Reilly Automotive, Inc.....	3,521	378	460				
PulteGroup, Inc.....	813	100	158				
Rivian Automotive, Inc., Class A.....	3,252	74	80				
Ross Stores, Inc.....	1,325	423	400				
Royal Caribbean Cruises Ltd.....	1,080	424	486				
Tesla Inc.....	11,744	4,518	7,005				
TJX Companies, Inc., The.....	4,620	615	993				
Tractor Supply Company.....	2,180	128	98				
Ulta Beauty, Inc.....	184	112	118				
Williams-Sonoma, Inc.....	505	112	167				
Yum! Brands, Inc.....	1,147	218	260				
		14,666	18,872				
Consumer Staples — 5.3%				Financials — 10.8%			
Bunge Global SA.....	571	67	86	Aflac Incorporated.....	1,932	209	321
Church & Dwight Co., Inc.....	999	130	137	Allstate Corporation, The.....	1,092	222	368

BMO MSCI USA Selection Equity Index ETF
(formerly BMO MSCI USA ESG Leaders Index ETF) (unaudited)

Schedule of Investment Portfolio (cont'd)

As at June 30, 2026 (All amounts in thousands of Canadian dollars, unless otherwise noted)

	Number of Shares or Units	Cost* (\$)	Fair Value (\$)		Number of Shares or Units	Cost* (\$)	Fair Value (\$)
KeyCorp.....	3,778	84	124	Veeva Systems Inc., Class A.....	641	237	161
LPL Financial Holdings Inc.....	333	120	133	Vertex Pharmaceuticals Incorporated.....	1,054	639	743
Marsh & McLennan Companies, Inc.....	2,043	453	483	Waters Corporation.....	408	172	217
Mastercard Incorporated, Class A.....	3,422	2,045	2,493	West Pharmaceutical Services, Inc.....	298	110	152
MetLife, Inc.....	2,307	263	277	Zimmer Biomet Holdings, Inc.....	806	125	98
Moody's Corporation.....	618	313	397	Zoetis Inc.....	1,835	380	187
Morgan Stanley.....	4,954	757	1,469				
Nasdaq, Inc.....	1,902	180	213			14,518	20,701
Northern Trust Corporation.....	730	106	180				
PayPal Holdings, Inc.....	3,706	320	227	Industrials — 9.6%			
PNC Financial Services Group, Inc., The.....	1,615	391	564	3M Company.....	2,211	425	508
Principal Financial Group, Inc.....	936	89	143	Allegion Public Limited Company.....	358	62	71
Progressive Corporation, The.....	2,428	542	752	Automatic Data Processing, Inc.....	1,677	525	533
Prudential Financial, Inc.....	1,456	189	223	Axon Enterprise, Inc.....	308	175	245
Raymond James Financial, Inc.....	737	114	159	Broadridge Financial Solutions, Inc.....	483	121	94
Regions Financial Corporation.....	3,707	111	159	C.H. Robinson Worldwide, Inc.....	494	73	132
S&P Global Inc.....	1,285	716	742	Carlisle Companies Incorporated.....	147	70	76
State Street Corporation.....	1,178	142	283	Carrier Global Corporation.....	3,192	221	332
Synchrony Financial.....	1,510	103	163	Caterpillar Inc.....	1,937	898	2,925
T. Rowe Price Group, Inc.....	918	158	148	CNH Industrial N.V., Class A.....	3,574	54	57
Travelers Companies, Inc., The.....	887	244	415	Comfort Systems USA, Inc.....	147	371	413
Truist Financial Corporation.....	5,335	355	377	CSX Corporation.....	7,714	346	520
U.S. Bancorp.....	6,438	413	551	Cummins Inc.....	575	250	582
Visa Inc., Class A.....	7,007	2,573	3,410	Deere & Company.....	1,018	601	916
Willis Towers Watson Public Limited Company.....	400	141	148	Delta Air Lines, Inc.....	663	44	88
				Dover Corporation.....	561	119	178
	16,892		21,737	Eaton Corporation plc.....	1,614	521	975
				EMCOR Group, Inc.....	189	126	222
Health Care — 10.3%				Expeditors International of Washington, Inc.....	571	84	132
Abiomed, Inc., CVR [*]	3,222	4	—	Ferguson Enterprises Inc.....	815	201	274
Agilent Technologies, Inc.....	1,176	195	222	Fortive Corporation.....	1,203	101	104
Alnylam Pharmaceuticals, Inc.....	542	245	231	GE Vernova Inc.....	1,119	1,494	1,865
Amgen Inc.....	2,234	806	1,147	General Electric Company.....	4,347	1,252	2,304
Biogen Inc.....	610	172	187	Graco Inc.....	691	77	74
Bristol-Myers Squibb Company.....	8,470	643	692	Hubbell Incorporated.....	217	123	161
Cencora, Inc.....	764	216	307	IDEX Corporation.....	309	78	99
Cigna Group, The.....	1,106	385	433	Ingersoll Rand Inc.....	1,653	144	192
Cooper Companies, Inc., The.....	816	96	83	J.B. Hunt Transport Services, Inc.....	312	70	128
Danaher Corporation.....	2,628	748	710	Jacobs Solutions Inc.....	491	81	88
Edwards Lifesciences Corporation.....	2,431	271	312	Johnson Controls International plc.....	2,544	272	527
Elevance Health, Inc.....	916	528	502	Lennox International Inc.....	131	72	106
Eli Lilly and Company.....	3,343	2,469	5,687	Old Dominion Freight Line, Inc.....	783	156	241
Gilead Sciences, Inc.....	5,157	609	924	Paychex, Inc.....	1,337	210	186
Hologic, Inc. [*]	942	0	0	Pentair plc.....	676	69	74
Humana Inc.....	496	219	279	Quanta Services, Inc.....	618	214	631
IDEXX Laboratories, Inc.....	332	233	248	Rockwell Automation, Inc.....	467	185	328
Incyte Corporation.....	676	67	109	Trane Technologies Public Limited Company.....	915	342	637
Insulet Corporation.....	290	100	63	TransUnion.....	797	84	82
IQVIA Holdings Inc.....	706	197	194	Union Pacific Corporation.....	2,457	737	948
Johnson & Johnson.....	10,015	2,310	3,607	United Rentals, Inc.....	268	195	431
Labcorp Holdings Inc.....	343	114	136	Veralto Corporation.....	1,010	138	127
Merck & Co., Inc.....	10,342	1,196	1,885	Verisk Analytics, Inc., Class A.....	540	130	138
Mettler-Toledo International Inc.....	86	143	156	W.W. Grainger, Inc.....	187	184	361
Quest Diagnostics Incorporated.....	463	94	139	XPO, Inc.....	491	145	143
Royalty Pharma plc, Class A.....	1,697	83	135	Xylem Inc.....	1,009	156	169
STERIS plc.....	403	114	120			11,996	19,417
Stryker Corporation.....	1,423	598	635				

BMO MSCI USA Selection Equity Index ETF

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Schedule of Investment Portfolio (cont'd)

As at June 30, 2026 (All amounts in thousands of Canadian dollars, unless otherwise noted)

	Number of Shares or Units	Cost* (\$)	Fair Value (\$)		Number of Shares or Units	Cost* (\$)	Fair Value (\$)
Information Technology — 34.7%							
Accenture plc, Class A	2,563	919	452	Crown Castle Inc.	1,805	324	194
Adobe Inc.	1,684	935	490	Digital Realty Trust, Inc.	1,413	269	360
Advanced Micro Devices, Inc.	6,796	1,622	5,599	Equinix, Inc.	411	417	608
Analog Devices, Inc.	2,032	649	1,145	Iron Mountain Incorporated	1,225	125	219
Applied Materials, Inc.	3,305	795	3,389	Prologis, Inc.	3,864	593	742
Atlassian Corporation, Class A	686	150	76	SBA Communications Corporation	444	156	111
Autodesk, Inc.	879	309	242	Welltower Inc.	2,952	527	950
Cadence Design Systems, Inc.	1,174	371	625	Weyerhaeuser Company	2,990	122	102
FS, Inc.	245	130	145			3,255	3,971
Fair Isaac Corporation	92	142	156	Utilities — 1.0%			
First Solar, Inc.	416	135	139	American Water Works Company, Inc.	798	150	149
Hewlett Packard Enterprise Company	5,553	133	355	Atmos Energy Corporation	673	116	164
International Business Machines Corporation	3,870	988	1,543	CMS Energy Corporation	1,265	112	137
Intuit Inc.	1,151	804	426	Consolidated Edison, Inc.	1,478	173	232
Keysight Technologies, Inc.	708	154	351	Edison International	1,573	123	166
Lam Research Corporation	5,217	651	3,206	Eversource Energy	1,531	148	157
Marvell Technology, Inc.	3,546	343	1,498	Exelon Corporation	4,176	241	276
Microsoft Corporation	29,399	14,006	15,553	NiSource Inc.	1,980	101	134
NetApp, Inc.	823	96	181	NRG Energy, Inc.	839	111	174
NVIDIA Corporation	96,218	11,585	27,305	Sempra	2,699	264	355
NXP Semiconductors N.V.	1,036	284	413			1,539	1,944
Palo Alto Networks, Inc.	3,359	761	1,625	Total Investment Portfolio — 99.9%			
PTC Inc.	491	105	79	131,579			
Salesforce, Inc.	3,354	1,014	745	Total Unrealized Gain on Forward Currency Contracts — 0.0%			
Seagate Technology Holdings Public Limited Company	905	183	1,239	2			
ServiceNow, Inc.	4,313	755	607	Total Unrealized Loss on Forward Currency Contracts — (0.1)%			
Synopsys, Inc.	746	474	472	(177)			
Trimble Inc.	1,002	95	73	Other Assets Less Liabilities — 0.2%			
Twilio Inc., Class A	633	78	185	420			
Western Digital Corporation	1,447	174	1,311	NET ASSETS ATTRIBUTABLE TO HOLDERS OF REDEEMABLE UNITS — 100.0% ...			
Workday, Inc., Class A	895	264	155	201,212			
Zscaler, Inc.	431	116	86				
		39,220	69,866				
Materials — 2.1%							
Avery Dennison Corporation	331	77	76				
Ball Corporation	1,101	104	97				
CRH Public Limited Company	2,771	347	421				
Ecolab Inc.	1,054	327	416				
International Flavors & Fragrances Inc.	1,044	143	117				
International Paper Company	2,032	142	110				
Linde PLC	1,941	928	1,429				
Martin Marietta Materials, Inc.	250	153	204				
Newmont Corporation	4,533	378	600				
Nucor Corporation	910	172	288				
PPG Industries, Inc.	945	155	163				
Smurfit WestRock plc	2,147	128	141				
Steel Dynamics, Inc.	570	73	186				
		3,127	4,248				
Real Estate — 2.0%							
American Tower Corporation	1,943	548	451				
CBRE Group, Inc., Class A	1,227	174	234				

* Where applicable, distributions received from holdings as a return of capital are used to reduce the adjusted cost base of the securities in the portfolio.

* These securities have no quoted market value and are valued using valuation techniques (note 3).

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Schedule of Investment Portfolio (cont'd)

As at June 30, 2026 (All amounts in thousands of Canadian dollars, unless otherwise noted)

UNREALIZED GAIN ON FORWARD CURRENCY CONTRACTS

Settlement Date	Currency Buy	Position (000s)	Currency Sell	Position (000s)	Contract Rate	Counterparty	Credit Rating**	Unrealized Gain#
4-Aug-26	CAD	826	USD	(583)	1.4167	Bank of Montreal***	A-1	0
4-Aug-26	CAD	594	USD	(420)	1.4167	State Street Bank and Trust Co.	A-1+	0
4-Aug-26	CAD	536	USD	(378)	1.4167	Royal Bank of Canada	A-1+	0
4-Aug-26	CAD	2,170	USD	(1,532)	1.4167	Toronto Dominion Bank, The	A-1	1
4-Aug-26	CAD	1,673	USD	(1,180)	1.4167	Bank of New York Mellon Trust Co. N.A. (The)	A-1+	1
Total Unrealized Gain on Forward Currency Contracts								2

UNREALIZED LOSS ON FORWARD CURRENCY CONTRACTS

Settlement Date	Currency Buy	Position (000s)	Currency Sell	Position (000s)	Contract Rate	Counterparty	Credit Rating**	Unrealized Loss#
2-Jul-26	CAD	2,107	USD	(1,532)	1.3757	Toronto Dominion Bank, The	A-1	(65)
2-Jul-26	CAD	1,624	USD	(1,181)	1.3757	Bank of New York Mellon Trust Co. N.A. (The)	A-1+	(50)
2-Jul-26	CAD	802	USD	(583)	1.3757	Bank of Montreal***	A-1	(25)
2-Jul-26	CAD	441	USD	(321)	1.3757	State Street Bank and Trust Co.	A-1+	(14)
2-Jul-26	CAD	384	USD	(279)	1.3757	Royal Bank of Canada	A-1+	(12)
2-Jul-26	CAD	136	USD	(99)	1.3773	State Street Bank and Trust Co.	A-1+	(4)
2-Jul-26	CAD	136	USD	(99)	1.3775	Royal Bank of Canada	A-1+	(4)
2-Jul-26	USD	1,532	CAD	(2,173)	0.7048	Toronto Dominion Bank, The	A-1	(1)
2-Jul-26	USD	1,181	CAD	(1,675)	0.7048	Bank of New York Mellon Trust Co. N.A. (The)	A-1+	(1)
2-Jul-26	USD	583	CAD	(827)	0.7048	Bank of Montreal***	A-1	(0)
2-Jul-26	USD	420	CAD	(595)	0.7048	State Street Bank and Trust Co.	A-1+	(0)
2-Jul-26	USD	378	CAD	(536)	0.7048	Royal Bank of Canada	A-1+	(0)
4-Aug-26	USD	169	CAD	(240)	0.7049	Royal Bank of Canada	A-1+	(1)
Total Unrealized Loss on Forward Currency Contracts								(177)

** Credit Rating provided by Standard & Poor's.

These forward currency contracts are held only in the Hedged Units (note 3).

*** The counterparty is an affiliate of the Manager.

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Notes to the Financial Statements

(All amounts in thousands of Canadian dollars, except per unit data)

June 30, 2026

1. The Fund

BMO MSCI USA Selection Equity Index ETF ("the ETF") is an exchange-traded fund established as an open-ended trust by a Declaration of Trust under the laws of the Province of Ontario. BMO Asset Management Inc. ("the Manager") is the Manager and trustee of the ETF. The Manager is a wholly owned subsidiary of Bank of Montreal. The address of the ETF's registered office is 100 King Street West, 43rd Floor, Toronto, Ontario, M5X 1A1.

The Statement of Financial Position and related notes for the ETF are as at June 30, 2026 and December 31, 2025, except for ETFs established in 2026, in which case the information is only as at June 30, 2026. The Statement of Comprehensive Income, Statement of Changes in Net Assets Attributable to Holders of Redeemable Units, Statement of Cash Flows and related notes are for the six-month periods ended June 30, 2026 and June 30, 2025, except for ETFs established during either period, which are presented from the date of establishment (as noted in Note 8) to June 30, of the applicable period. Financial information provided for a class of units established during the period(s) is presented from the establishment date as noted in Note 8 to June 30 of the applicable period.

The financial statements were authorized for issue by the Manager on August 5, 2026.

These financial statements should be read in conjunction with the annual financial statements for the period ended December 31, 2025, which have been prepared in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board ("IFRS Accounting Standards").

2. Basis of preparation and presentation

These unaudited interim financial statements have been prepared in accordance with IFRS Accounting Standards and in accordance with International Accounting Standard ("IAS") 34 - Interim Financial Reporting.

In April 2024, the International Accounting Standards Board ("IASB") issued IFRS 18, Presentation and Disclosure in Financial Statements, which replaces IAS 1, Presentation of Financial Statements.

IFRS 18 introduces new requirements for the presentation and disclosure of information in the financial statements, including prescribed categories and subtotals in the Statement of Comprehensive Income and enhanced guidance on the aggregation and disaggregation of information and certain conforming changes to the Statement of Cash Flows. The standard is effective for annual periods beginning on or after January 1, 2027. The ETFs do not intend to early adopt the standard. Management has completed a preliminary assessment of the impact of IFRS 18 on the ETFs' financial statements. Based on this assessment, IFRS 18 is not expected to impact the ETFs' net assets attributable to holders of redeemable units, total comprehensive income, or cash flows, as the standard primarily affects presentation and disclosure requirements.

Management expects that, for the majority of the ETFs, items presented in the Statement of Comprehensive Income will be reported within the Operating and Financing categories prescribed by IFRS 18. Income and expenses classified in the financing category will potentially include expenses associated with certain borrowings and repurchase or similar finance-related transactions that certain ETFs may enter into.

IFRS 18 also introduces requirements for the disclosure of Management-defined Performance Measures ("MPMs"). Management has initiated a review of performance measures presented in the ETFs' public communications and regulatory filings outside the financial statements to determine whether any measures meet the definition of an MPM under IFRS 18 and, if applicable, whether additional disclosures will be required upon adoption of the standard.

Management will continue to assess the impact of IFRS 18 as implementation guidance evolves and anticipates finalizing the ETFs' transition approach prior to the effective date of January 1, 2027.

3. Material accounting policy information *Financial Instruments*

Financial instruments include financial assets and financial liabilities such as equity and debt securities, investment funds and derivatives. These investments

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are part of a group of financial instruments that are managed and their performance is evaluated on a fair value basis and in accordance with the ETF's investment strategy.

The ETF classifies and measures financial instruments in accordance with IFRS 9 Financial Instruments ("IFRS 9"). Upon initial recognition, financial instruments are recorded at fair value. A financial instrument is recognized when the ETF becomes a party to the contractual requirements of the instrument and is derecognized when the right to receive cash flows from the instrument has expired or the ETF has transferred substantially all risks and rewards of ownership. As such, investment purchase and sale transactions are recorded as of the trade date. Investments and derivatives are subsequently measured at fair value through profit or loss ("FVTPL"), with changes in fair value recognized in the Statement of Comprehensive Income as "Change in unrealized appreciation (depreciation)".

All financial assets and financial liabilities are recognized in the Statement of Financial Position.

The ETF's redeemable units, which are puttable instruments, are held by different types of unitholders that are entitled to different redemption rights. See Note 5 for details of unitholders' transactions in the units of the ETF.

The different redemption features create equally subordinate but not identical units or classes of the units of the ETF. Redemption of units at 95% of the Net Asset Value ("NAV") for some type of unitholders redemptions also results in a situation where the redemption value of this puttable instrument is not based substantially on the net assets of the ETF. As a result, the ETF's obligations for net assets attributable to holders of redeemable units ("Net Assets") are classified as financial liabilities and presented at the redemption amounts.

Cost of investments

The cost of investments represents the amount paid for each security and is determined on an average cost basis, and excludes commissions and other portfolio

transaction costs, which are reported separately in the Statement of Comprehensive Income. Realized gains and losses on disposition are determined based on the cost of the investments.

Fair value measurement

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

For exchange-traded securities, close prices are considered to be fair value if they fall within the bid-ask spread. In circumstances where the close price is not within the bid-ask spread, the Manager determines the point within the bid-ask spread that is most representative of fair value based on the specific facts and circumstances.

Procedures are in place to fair value equities traded in countries outside of North America daily, to avoid stale prices and to take into account, among other things, any significant events occurring after the close of a foreign market.

For bonds, debentures, asset-backed securities, short-term investments and other debt securities, fair value is determined as the last traded market price or close price, or other such prices, that falls within the bid-ask spread of the security.

The ETF may enter into forward currency contracts for hedging purposes either directly or indirectly, or for non-hedging purposes. The fair value of forward currency contracts entered into by the ETF is recorded as the difference between the fair value of the contract on the Valuation Date (the "Valuation Date" is each day on which the Toronto Stock Exchange ("TSX") is open for trading) and the fair value on the date the contract originated.

For the Listed Hedged Units (the "Hedged Units"), the ETF enters into forward currency contracts to hedge against foreign currency exposure and as a result the Hedged Units will be subject to less currency risk than the other classes of the ETF because their foreign currency exposure is hedged. However, the hedging strategy may not achieve a perfect hedge of the foreign currency exposure for the Hedged Units.

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The ETF may engage in option contract transactions by purchasing (long positions) or writing (short positions) call or put option contracts. These contracts have different risk exposures for the ETF, whereas the risk for long positions will be limited to the premium paid to purchase the option contracts, the risk exposure for the short positions is potentially unlimited until closed or expired.

The premium paid for purchasing an option is included in "Derivative assets" in the Statement of Financial Position. The option contract is valued on each Valuation Date at an amount equal to the fair value of the option that would have the effect of closing the position. The change in the difference between the premium and the fair value is shown as "Change in unrealized appreciation (depreciation)" in the Statement of Comprehensive Income.

When a purchased option expires, the ETF will realize a loss equal to the premium paid. When a purchased option is closed, the gain or loss the ETF will realize will be the difference between the proceeds and the premium paid. When a purchased call option is exercised, the premium paid is added to the cost of acquiring the underlying security. When a purchased put option is exercised, the premium paid is subtracted from the proceeds from the sale of the underlying security that had to be sold.

The premium received from writing an option is included in "Derivative liabilities" in the Statement of Financial Position.

When a written option expires, the ETF will realize a gain equal to the premium received. When a written option is closed, the ETF will realize a gain or loss equal to the difference between the cost at which the contract was closed and the premium received. When a written call option is exercised, the premium received is added to the proceeds from the sale of the underlying investments to determine the realized gain or loss. When a written put option is exercised, the premium received is subtracted from the cost of the underlying investments the ETF had purchased.

The gain or loss that the ETF realizes when a purchased or written option is expired or closed is recorded as "Net realized gain (loss)" in the Statement of Comprehensive Income.

A credit default swap contract is an agreement to transfer credit risk from one party, a buyer of protection, to another party, a seller of protection. The ETF, as a seller of protection, would be required to pay a notional or other agreed upon value to the buyer of protection in the event of a default by a third-party. In return, the ETF would receive from the counterparty a periodic stream of payments over the term of the contract provided that no event of default occurs. If no default occurs, the ETF would keep the stream of payments and would have no payment obligations.

In connection with the agreement, securities or cash may be identified as collateral or margin in accordance with the terms of the agreement to provide assets of value in the event of default or bankruptcy/insolvency.

The ETF, as a buyer of protection, would receive a notional or other agreed upon value from the seller of protection in the event of a default by a third-party. In return, the ETF would be required to pay to the counterparty a periodic stream of payments over the term of the contract provided that no event of default occurs.

Credit default swap contracts are fair valued daily based upon quotations from independent security pricing sources. Premiums paid or received, if any, are included in "Net realized gain (loss)" in the Statement of Comprehensive Income. Net periodic payments are accrued daily and recorded as "Derivative income (loss)" in the Statement of Comprehensive Income. When credit default swap contracts expire or are closed out, gains or losses are recorded as "Net realized gain (loss)" in the Statement of Comprehensive Income.

Excess return swaps are agreements where one party receives payments based on a set rate, while the other party receives payments based on a return of a referenced asset or index. The net periodic payments received or paid from the excess return swaps are recorded as "Derivative income (loss)" in the Statement of Comprehensive Income. Payments received or paid when the ETF enters into the contract are recorded as a

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liability or asset in the Statement of Financial Position. When the contract is terminated or expires, the payments received or paid are recorded as “Net realized gain (loss)” in the Statement of Comprehensive Income. Payments received or paid upon early termination are recorded as “Net realized gain (loss)” in the Statement of Comprehensive Income. Excess return swap agreements are valued based upon quotations from independent sources. The change in value is included in “Change in unrealized appreciation (depreciation)” in the Statement of Comprehensive Income.

The ETF may enter into forward-starting cash-flow hedge swap contracts with various counterparties, including Bank of Montreal, an affiliate of the Manager, where the ETF will pay to the counterparty the proceeds from the bonds maturing in the final year of the ETF. At the end of the ETF’s final year, the counterparty will pay a bullet payment plus an agreed upon rate determined and locked in at the inception of the ETF.

The forward-starting cash-flow hedge swap contracts are fair valued daily based upon quotations from independent security pricing sources. All unrealized gains (losses) from the forward-starting cash-flow swap contracts are included in “Change in unrealized appreciation (depreciation)” in the Statement of Comprehensive Income. When the forward-starting cash-flow hedge swap contracts are partially closed out or closed out the gains (losses) realized are included in “Net realized gain (loss)” in the Statement of Comprehensive Income.

For securities where market quotes are not available, unreliable or not considered to reflect the current value, the Manager may determine another value which it considers to be fair and reasonable, or use a valuation technique that, to the extent possible, makes maximum use of inputs and assumptions based on observable market data, including volatility, comparable companies, NAV (for exchange-traded funds) and other applicable rates or prices. These estimation techniques include discounted cash flows, internal models that utilize observable data or

comparisons with other securities that are substantially similar. In limited circumstances, the Manager may use internal models where the inputs are not based on observable market data.

The ETF may enter into short positions whereby a security that it does not own is sold short in anticipation of a decline in the fair value of that security. To enter a short sale, the ETF will need to borrow the security for delivery to the buyer. The short positions are secured by the assets owned by the ETF. The ETF can realize a gain on the short sale, if the price of the security decreases from the date the security was sold short until the date at which the ETF closes out its short position, by buying that security at a lower price. A loss will be incurred if the price of the security increases. The gain or loss that would be realized is included in the Statement of Comprehensive Income in “Net realized gain (loss)”. While the transaction is open, the ETF will also incur a liability for any accrued dividends or interest, which are paid to the lender of the security.

Cash

Cash is comprised of cash and deposits with banks, which include bankers’ acceptances and overnight demand deposits. The carrying amount of cash approximates its fair value because it is short-term in nature.

Other assets and other liabilities

Other assets and other liabilities generally include receivable for investments sold, subscriptions receivable, interest receivable, dividends receivable, payable for investments purchased, redemptions payable, distributions payable, dividends payable and accrued expenses. These financial assets and financial liabilities are short-term in nature and are measured at amortized cost, which approximates their fair value.

Investments in subsidiaries, joint ventures and associates

Subsidiaries are entities over which the ETF has control through its exposure or rights to variable returns from its investment and has the ability to affect those returns through its power over the entity. The Manager has determined that the ETF is an investment entity and as such, it accounts for subsidiaries, if any, at fair value. Joint ventures are investments where the ETF exercises joint control through an agreement with

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other shareholders, and associates are investments in which the ETF exerts significant influence over operating, investing, and financing decisions (such as entities in which the ETF owns 20% - 50% of voting shares), all of which, if any, have been classified at FVTPL.

Unconsolidated structured entities

The Manager has determined that the underlying funds in which the ETF may invest are unconsolidated structured entities. This determination is based on the fact that decision making about the underlying funds is not governed by the voting right or other similar right held by the ETF. Similarly, investments in securitizations, asset-backed securities and mortgage-backed securities are determined to be interests in unconsolidated structured entities.

The ETF may invest in underlying funds whose investment objectives range from achieving short-term to long-term income and capital growth potential. Underlying funds may use leverage in a manner consistent with their respective investment objectives and as permitted by Canadian securities regulatory authorities. Underlying funds finance their operations by issuing redeemable units which are puttable at the holders' option and entitles the holder to a proportionate stake in the respective fund's Net Assets. The change in fair value of each of the underlying funds during the periods is included in "Change in unrealized appreciation (depreciation)" in the Statement of Comprehensive Income.

Mortgage-related securities are created from pools of residential or commercial mortgage loans, including mortgage loans made by savings and loan institutions, mortgage bankers, commercial banks and others. Asset-backed securities are created from many types of assets, including auto loans, credit card receivables, home equity loans, and student loans.

The ETF does not provide and has not committed to providing any additional significant financial or other support to the unconsolidated structured entities other than its investment in the unconsolidated structured entities.

Additional information on the ETF's interest in unconsolidated structured entities, where applicable, is provided in Note 8.

Offsetting of financial assets and financial liabilities

Financial instruments are presented at net or gross amounts on the Statement of Financial Position depending on the existence of intention and legal right to offset opposite positions of such instruments held with the same counterparties. Amounts offset in the Statement of Financial Position are related to transactions for which the ETF has legally enforceable rights to offset and intends to settle the positions on a net basis. Amounts not offset in the Statement of Financial Position relate to positions where there is no legally enforceable right to offset, or the legal right to offset is only in the event of default, insolvency or bankruptcy, or where the ETF has no intention to settle on a net basis. Refer to Note 8 for details.

Income recognition

Dividend income and distributions received from investment trusts are recognized on the ex-dividend and ex-distribution date, respectively.

Interest income from interest bearing investments is recognized in the Statement of Comprehensive Income using the effective interest rate. Interest receivable shown in the Statement of Financial Position is accrued based on the interest bearing investments' stated rates of interest.

Interest on inflation-indexed bonds is paid based on a principal value, which is adjusted for inflation. The inflation adjustment of the principal value is recognized as part of "Interest income" in the Statement of Comprehensive Income. If held to maturity, the ETF will receive, in addition to a coupon interest payment, a final payment equal to the sum of the par value and the inflation compensation accrued from the original issue date. Interest is accrued on each Valuation Date based on the inflation adjusted par value at that time and is included in "Interest income" in the Statement of Comprehensive Income.

Foreign currency translation

The fair value of investments and other assets and liabilities in foreign currencies are translated into the ETF's functional currency at the rates of exchange

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prevailing at the period-end date. Purchases and sales of investments, and income and expenses are translated at the rates of exchange prevailing on the respective dates of such transactions. Realized and unrealized foreign exchange gains (losses) on investment transactions are included in "Net realized gain (loss)" and in "Change in unrealized appreciation (depreciation)" respectively, in the Statement of Comprehensive Income. Realized and unrealized foreign exchange gains (losses) relating to cash, receivables and payables, as applicable, are included in "Foreign exchange gain (loss)" in the Statement of Comprehensive Income.

Securities lending

An ETF may engage in securities lending pursuant to the terms of an agreement with State Street Bank and Trust Company, and/or Securities Finance Trust Company (the "securities lending agent"). The aggregate market value of all securities on loan by an ETF cannot exceed 50% of the NAV of the ETF. An ETF will receive collateral of at least 102% of the value of the securities on loan. Collateral will generally be comprised of obligations of or guarantee by the Government of Canada or a province thereof, or by the United States government or its agencies, but it may include obligations of other governments with appropriate credit ratings. Further, the program entered into provides for 100% indemnification by the securities lending agent and parties related to the ETF's custodian, to the ETF for any defaults by borrowers.

For those ETFs participating in the program, aggregate values of securities on loan and the collateral held as at June 30, 2026 and December 31, 2025 and information about the security lending income earned by the ETF are disclosed in Note 8, where applicable.

Income from securities lending, where applicable, is included in the Statement of Comprehensive Income and is recognized when earned. The breakdown of the securities lending income is disclosed in Note 8, where applicable.

Increase or decrease in net assets attributable to holders of redeemable units per unit

"Increase (decrease) in net assets attributable to holders of redeemable units per unit" of a class in the Statement of Comprehensive Income represents the

increase (decrease) in net assets attributable to holders of redeemable units of the class divided by the weighted average number of units of the class outstanding during the period. Refer to Note 8 for details.

Taxation

The ETF qualifies as a mutual fund trust under the provisions of the Income Tax Act (Canada). Distributions of all net taxable income and sufficient amounts of net realized capital gains for each taxation year will be paid to unitholders so that the ETF will not be subject to income tax. As a result, the Manager has determined that the ETF is in substance not taxable and therefore does not record income taxes in the Statement of Comprehensive Income nor does it recognize any deferred tax assets or liabilities in the Statement of Financial Position.

The ETF may be subject to taxes levied by certain countries on foreign investment income and capital gains. These taxes may be withheld at source or estimated using the most likely method in measuring uncertain tax liabilities in respect of foreign capital gains taxes. Such income and capital gains are recorded on a gross basis with the related foreign withholding tax, or estimate of capital gains taxes, shown as expense in the Statement of Comprehensive Income, and the tax liability amounts included in accrued liabilities in the Statement of Financial Position. The estimate could materially differ from the actual tax payable to the foreign jurisdiction.

4. Critical accounting judgements and estimates

The preparation of financial statements requires the use of judgement in applying the ETF's accounting policies and to make estimates and assumptions about the future. The following discusses the most significant accounting judgements and estimates that the ETF has made in preparing its financial statements.

Accounting judgements:

Functional and presentation currency

The ETF's unitholders are mainly Canadian residents, with the subscriptions and redemptions of the redeemable units denominated in Canadian dollars. The ETF invests in Canadian and U.S. dollars and other foreign denominated securities, as applicable. The performance of the ETF is measured and reported to

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the investors in Canadian dollars. The Manager considers the Canadian dollar as the currency that most faithfully represents the economic effects of the underlying transactions, events and conditions. The financial statements are presented in Canadian dollars, which is the ETF's functional and presentation currency.

Classification and measurement of investment portfolio

In classifying and measuring financial instruments held by the ETF, the Manager is required to make an assessment of the ETF's business model for managing financial instruments and the Manager is also required to make significant judgements in determining the most appropriate classification in accordance with IFRS 9. The Manager has assessed the ETF's business model with respect to the manner in which financial assets and financial liabilities are managed as a group and performance is evaluated on a fair value basis, and has concluded that FVTPL in accordance with IFRS 9 provides the most appropriate measurement and presentation of the ETF's investment portfolio. The collection of principal and interest is incidental to the fair value business model.

Accounting estimates:

Fair value measurement of securities not quoted in an active market

The Manager has established policies and control procedures that are intended to ensure these estimates are well controlled, independently reviewed, and consistently applied from period to period. The estimates of the value of the ETF's assets and liabilities are believed to be appropriate as at the reporting date.

The ETF may hold financial instruments that are not quoted in active markets. Note 3 discusses the policies used by the ETF for the estimates used in determining fair value.

5. Units and unit transactions

The redeemable units of the ETF are classified as financial liabilities. The units have no par value and are entitled to distributions, if any. Upon redemption, a unit is entitled to a proportionate share of the ETF's NAV. The ETF is required to pay distributions in an amount not less than the amount necessary to ensure the ETF will not be liable for income taxes on realized capital gains, dividends and interest. The ETF has no

restrictions or specific capital requirements on the subscriptions and redemptions of units except as disclosed in Note 8. The relevant movements in redeemable units are shown in the Statement of Changes in Net Assets Attributable to Holders of Redeemable Units.

In accordance with its investment objectives and strategies, and the risk management practices outlined in Note 7, the ETF endeavours to invest the subscriptions received in appropriate investments, while maintaining sufficient liquidity to meet redemptions, with such liquidity being augmented by short-term borrowings or disposal of investments where necessary.

The ETF is authorized to issue an unlimited number of units of each class. On any trading day, a designated broker or underwriter may place a subscription or redemption order for an integral multiple of the prescribed number of units of a particular class of the ETF. A trading day is each day on which the TSX is opened for business.

If the subscription or redemption order is accepted, the ETF will issue or redeem units to/from the designated broker or underwriter by no later than the third trading day after the date on which the subscription or redemption order is accepted. For each prescribed number of units issued or redeemed, a designated broker or underwriter must deliver or receive payment consisting of:

- A basket of applicable securities and cash in an amount sufficient so that the value of the securities, and the cash received is equal to the NAV of the units subscribed/redeemed; or
- Cash in the amount equal to the NAV of the units subscribed/redeemed.

On any trading day, unitholders may redeem units for cash or exchange units for baskets of securities and cash. Units redeemed for cash will be redeemed at a redemption price per unit equal to 95% of the closing price for the units on the exchange on the effective day of the redemption. Units exchanged for baskets of securities will be exchanged at a price equal to the NAV of the units on the effective date of the exchange request, payable by delivery of baskets of securities and cash.

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Unitholders who redeem units prior to the distribution record date will not be entitled to receive the distribution.

The NAV per unit of a class for the purposes of subscription or redemption is computed by dividing the NAV of the ETF (that is, the total fair value of the assets attributable to the class of the ETF less the liabilities attributable to the class) by the total number of units of the class of the ETF outstanding at such time on each Valuation Day, in accordance with Part 14 National Instrument ("NI") 81-106 Investment Fund Continuous Disclosure for the purpose of processing unitholder transactions. Net Assets are determined in accordance with IFRS Accounting Standards and may differ from the ETF's NAV. Where an ETF's NAV is not equal to its Net Assets, a reconciliation is shown in Note 8.

Expenses directly attributable to a class are charged to that class. Other expenses, income, realized and unrealized gains and losses from investment transactions are allocated proportionately to each class based upon the relative NAV of each class.

6. Related party transactions

(a) Management fees

The Manager is responsible for all other costs and expenses of the ETF, including the fees payable to the custodian, registrar and transfer agent and plan agent fees payable to other service providers, including the index providers retained by the Manager.

The ETF will pay the Manager a management fee as disclosed in Note 8 based on the NAV of the class of the ETF. The management fee, plus applicable taxes, will be accrued daily and paid quarterly in arrears. The Manager may, from time to time in its discretion, waive a portion of the management fee directly or indirectly charged at any given time.

The Manager may agree to charge a reduced management fee if it otherwise would be entitled to receive from the ETF with respect to investments in the ETF by certain unitholders. An amount equal to the difference between the fee otherwise chargeable and the reduced fee of the ETF will be distributed in cash to those unitholders as Management Fee Distributions.

(b) Other related party transactions

All expenses are recognized in the Statement of Comprehensive Income on the accrual basis.

The ETF is responsible for the costs and expenses incurred in complying with NI 81-107 (including any expenses related to the implementation and on-going operation of an Independent Review Committee), brokerage expenses and commissions, income and withholding taxes as well as other applicable taxes, the costs of complying with any new governmental or regulatory requirement introduced after the date the ETF was established and extraordinary expenses.

From time to time, the Manager may on behalf of the ETF, enter into transactions or arrangements with or involving subsidiaries and affiliates of Bank of Montreal, or certain other persons or companies that are related or connected to the Manager of the ETF. These transactions or arrangements may include transactions or arrangements with or involving subsidiaries and affiliates of Bank of Montreal, BMO Asset Management Inc., BMO Nesbitt Burns Inc., BMO Private Investment Counsel Inc., BMO InvestorLine Inc., BMO Investments Inc., or other investment funds offered by Bank of Montreal and may involve the purchase or sale of portfolio securities through or from subsidiaries or affiliates of Bank of Montreal, the purchase or sale of securities issued or guaranteed by subsidiaries or affiliates of Bank of Montreal, entering into forward contracts with subsidiaries or affiliates of Bank of Montreal acting as counterparty, the purchase or redemption of units of other Bank of Montreal affiliated investment funds or the provision of services to the Manager.

BMO Nesbitt Burns Inc. is one of the designated brokers that have entered into an underwriting agreement with the Manager. As a Designated Broker, under the underwriting agreement, BMO Nesbitt Burns Inc. may subscribe for and or be issued units of the ETF by the Manager from time to time.

7. Financial instruments risks

The ETF's activities expose it to a variety of risks associated with the financial instruments, as follows: market risk (including currency risk, interest rate risk and other market risk), credit risk and liquidity risk. The concentration table groups securities by asset

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type, geographic location and/or market segment. The ETF's risk management practice focuses on processes and strategies to minimize the tracking error between the ETF's performance and the performance of its relevant index.

(a) Currency risk

Currency risk is the risk that the fair value of financial instruments denominated in currencies, other than the functional currency of the ETF, will fluctuate due to changes in foreign exchange rates. Investments in foreign markets are exposed to currency risk as the prices denominated in foreign currencies are converted to the ETF's functional currency in determining fair value. The ETF may enter into forward currency contracts for hedging purposes to reduce foreign currency exposure. IFRS 7 considers the foreign exchange exposure relating to non-monetary assets and liabilities to be a component of market price risk, not foreign currency risk. However, the Manager monitors the exposure on all foreign currency denominated assets and liabilities. The ETF's exposure to currency risk, if any, is further disclosed in Note 8.

(b) Interest rate risk

Interest rate risk is the risk that the fair value of the ETF's interest bearing investments will fluctuate due to changes in market interest rates. The ETF's exposure to interest rate risk is concentrated in its investment in debt securities (such as bonds, money market investments, short-term investments and debentures) and interest rate derivative instruments, if any. Other assets and liabilities are short-term in nature and/or non-interest bearing. The ETF's exposure to interest rate risk, if any, is further discussed in Note 8.

(c) Other market risk

Other market risk is the risk that the fair value of a financial instrument will fluctuate as a result of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in a market or market segment. The Manager moderates this risk through the use of investment strategies that seek to minimize the ETF's tracking error versus a market

index, within the parameters of the investment strategy. The maximum risk resulting from financial instruments is equivalent to its fair value.

The Manager monitors the ETF's overall market positions on a daily basis and positions are maintained within established ranges. Other assets and liabilities are monetary items that are short-term in nature, and as such they are not subject to other market risk. The ETF's exposure to other market risk, if any, is further discussed in Note 8.

(d) Credit risk

Credit risk is the risk that a loss could arise from a security issuer or counterparty to a financial instrument not being able to meet its financial obligations. The fair value of debt securities includes consideration of the credit worthiness of the debt issuer. Credit risk exposure for over-the-counter derivative instruments is based on the ETF's unrealized gain of the contractual obligations with the counterparty as at the reporting date. The credit exposure of other assets is represented by its carrying amount. The ETF's exposure to credit risk, if any, is further discussed in Note 8.

The ETF may enter into securities lending transactions with approved counterparties. The credit ratings of each counterparty is disclosed in Note 8 and the market value of collateral held by the ETF must be at least 102% of the fair value of securities loaned, as disclosed in Note 8, where applicable.

(e) Liquidity risk

The ETF's exposure to liquidity risk is concentrated in the daily redemptions of units, and other liabilities. Since the settlement of redemptions is primarily by delivery of securities, the ETF is not exposed to any significant liquidity risk. The ETF primarily invests in securities that are traded in active markets and can be readily disposed. In addition, the ETF retains sufficient cash positions to maintain liquidity. The ETF may, from time to time, enter into over-the-counter derivative contracts or invest in unlisted securities, which are not traded in an organized market and may be illiquid. Securities for which market quotation could not be obtained and may be illiquid are identified in the Schedule of Investment Portfolio. The proportion

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of illiquid securities to the NAV of the ETF is monitored by the Manager to ensure it does not exceed the regulatory limit and does not significantly affect the liquidity required to meet the ETF's financial obligations.

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8. ETF specific information

(a) ETF information and change in units

The ETF was established on January 10, 2020. The Listed CAD Units and Listed Hedged Units are listed on the TSX under the symbol ESGY and ESGY.F, respectively.

Listed Hedged Units are a Canadian dollar denominated class of Units where the portfolio assets allocable to the class of Units are hedged back to the Canadian dollar.

Class	Establishment Date
Listed CAD Units	January 10, 2020
Listed Hedged Units	January 14, 2021

The last close price as at June 30, 2026 and December 31, 2025 are shown in the following table.

As at	Jun. 30, 2026	Dec. 31, 2025
Listed CAD Units	75.75	66.89
Listed Hedged Units	55.13	50.98

The number of units that have been issued and are outstanding are disclosed in the table below.

For the periods ended (in thousands of units)	Jun. 30, 2026	Jun. 30, 2025
Listed CAD Units		
Units issued and outstanding, beginning of period	2,585	2,935
Units issued	200	250
Redeemed during the period	(200)	(400)
Units issued and outstanding, end of period	2,585	2,785
Listed Hedged Units		
Units issued and outstanding, beginning of period	152	102
Units issued	150	50
Redeemed during the period	(200)	—
Units issued and outstanding, end of period	102	152

Fund name change

Effective February 5, 2025, the ETF changed its name from BMO MSCI USA ESG Leaders Index ETF to BMO MSCI USA Selection Equity Index ETF.

(b) Reconciliation of NAV to Net Assets

As at June 30, 2026 and December 31, 2025, there were no differences between the ETF's NAV per unit and its Net Assets per unit calculated in accordance with IFRS Accounting Standards.

(c) Increase (decrease) in net assets attributable to holders of redeemable units per unit

The increase (decrease) in net assets attributable to holders of redeemable units per unit for the periods ended June 30, 2026 and June 30, 2025 is calculated as follows:

For the periods ended	Jun. 30, 2026	Jun. 30, 2025
Listed CAD Units		
Increase (decrease) in net assets attributable to holders of redeemable units	23,588	(196)
Weighted average units outstanding during the period (in thousands of units)	2,602	2,910
Increase (decrease) in net assets attributable to holders of redeemable units per unit	9.07	(0.07)
Listed Hedged Units		
Increase in net assets attributable to holders of redeemable units	368	546
Weighted average units outstanding during the period (in thousands of units)	127	121
Increase in net assets attributable to holders of redeemable units per unit	2.91	4.52

(d) Income taxes

As at the tax year-ended December 15, 2025, there were no capital and non-capital losses carried forward.

(e) Related party transactions

Management fees

The Manager is entitled to receive a management fee, plus applicable taxes, accrued daily and paid quarterly in arrears at the following annual rates:

Class	Management Fee (%)
Listed CAD Units	0.200
Listed Hedged Units	0.200

The outstanding accrued management fees due to the Manager are included in "Accrued expenses" in the Statement of Financial Position and as at June 30, 2026 amounted to \$107 (December 31, 2025 — \$103).

Brokerage commissions

Brokerage commissions paid (excluding transaction costs) on security transactions and amounts paid to related parties of the Manager for brokerage services provided to the ETF for the periods are as follows:

BMO MSCI USA Selection Equity Index ETF

(formerly BMO MSCI USA ESG Leaders Index ETF) (unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)
June 30, 2026

For the periods ended	Jun. 30, 2026 (\$)	Jun. 30, 2025 (\$)
Total brokerage amounts paid	0	0
Total brokerage amounts paid to related parties	0	0

There were no ascertainable soft dollars paid or payable to dealers by the ETF during the periods.

Investments by affiliates

As at June 30, 2026, 66.0% (December 31, 2025 – 64.5%) of the Net Assets were held by affiliates of the ETF.

(f) Financial instruments risks

The ETF's objective is to replicate, to the extent possible, the performance of an ESG-focused U.S. equity index, net of expenses. Currently, the ETF seeks to replicate the performance of the MSCI USA Selection Index (formerly MSCI USA ESG Leaders Index). The investment strategy of the ETF is to invest in and hold the constituent securities of the MSCI USA Selection Index (formerly MSCI USA ESG Leaders Index) in the same proportion as they are reflected in the MSCI USA Selection Index (formerly MSCI USA ESG Leaders Index) or other securities intended to replicate the performance of that index.

No changes affecting the overall level of risk of investing in the ETF were made during the period.

Currency risk

The tables below summarize the foreign currencies to which all the units of the ETF had exposure to currency risk. Amounts shown are based on the carrying value of monetary and non-monetary assets (including derivatives and the underlying principal (notional) amount of the forward currency contracts, except those contracts held only in the Hedged Units, if any).

As at Jun. 30, 2026

Currency	Cash and other current receivables & payables (\$)	Investments (monetary & non-monetary) (\$)	Forward currency contracts (\$)	Net currency exposure (\$)	As a % of Net Assets (%)
U.S. Dollar	703	200,967	—	201,670	100.2

As at Dec. 31, 2025

Currency	Cash and other current receivables & payables (\$)	Investments (monetary & non-monetary) (\$)	Forward currency contracts (\$)	Net currency exposure (\$)	As a % of Net Assets (%)
U.S. Dollar	306	180,324	—	180,630	100.1

As at June 30, 2026 and December 31, 2025, if the Canadian dollar had strengthened or weakened by 5% in relation to all foreign currencies, with all other variables held constant, the Net Assets of the ETF could possibly have decreased or increased, as applicable, by approximately \$10,084 (December 31, 2025 — \$9,031) or \$9,806 (December 31, 2025 — \$8,641) including forward currency contracts held by the Hedged Units. In practice, actual results may differ from this sensitivity analysis and the difference could be material.

The tables below summarize the reduced currency risk of each Hedged Units, including forward currency contracts held only in the Hedged Units.

As at Jun 30, 2026

Hedged Units	Net Assets of the Hedged Units (\$)	Forward currency contracts (\$)	Net currency exposure (\$)	As a % of Net Assets of the Hedged Units (%)
Listed Hedged Units				
U.S. Dollar	5,621	(5,558)	63	1.1

As at Dec 31, 2025

Hedged Units	Net Assets of the Hedged Units (\$)	Forward currency contracts (\$)	Net currency exposure (\$)	As a % of Net Assets of the Hedged Units (%)
Listed Hedged Units				
U.S. Dollar	7,740	(7,802)	(62)	(0.8)

As at June 30, 2026 and December 31, 2025, if the Canadian dollar had strengthened or weakened by 5% in relation to all foreign currencies, with all the other variables held constant, the Net Assets of the Hedged Units of the ETF could possibly have decreased or increased, as applicable, by approximately \$3 (December 31, 2025 — \$3). In practice, actual results may differ from this sensitivity analysis and the difference could be material.

BMO MSCI USA Selection Equity Index ETF

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Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)
June 30, 2026

Interest rate risk

As at June 30, 2026 and December 31, 2025, the ETF did not have significant exposure to interest rate risk.

Other market risk

The ETF has significant exposure to other market risk arising from its investments. Using historical correlation between the ETF's return and the return of its benchmark, if the benchmark, MSCI USA ESG Leaders Index, had increased or decreased by 10%, with all other variables held constant, the Net Assets of the ETF would have increased or decreased, respectively, by \$19,898 (December 31, 2025 — \$17,894). Historical correlation may not be representative of future correlation, and accordingly, actual results may differ and the difference could be material.

Credit risk

As at June 30, 2026 and December 31, 2025, the ETF did not have significant exposure to credit risk.

Securities lending

The ETF engaged in securities lending with State Street Bank and Trust Company during the periods ended June 30, 2026, and December 31, 2025. The ETF had assets involved in securities lending transactions outstanding as at June 30, 2026 and December 31, 2025 as follows:

	Aggregate Value of Securities on Loan (\$)	Aggregate Value of Collateral Received for the Loan (\$)
Jun. 30, 2026	382	429
Dec. 31, 2025	4,172	4,884

The table below is a reconciliation of the gross amount generated from securities lending transactions to the security lending revenue for the periods ended June 30, 2026 and June 30, 2025:

For the periods ended	Jun. 30, 2026		Jun. 30, 2025	
	Amount (\$)	% of Gross Securities Lending Revenue	Amount (\$)	% of Gross Securities Lending Revenue
Gross securities lending revenue	2	100.0	0	100.0
Withholding taxes	—	—	—	—
	2	100.0	0	100.0
Payment to securities lending agents	0	24.7	0	23.4
Net securities lending revenue	2	75.3	0	76.6

Concentration risk

The ETF's concentration risk is summarized in the following table:

As at	Jun. 30, 2026	Dec. 31, 2025
Equities		
Communication Services	12.8%	12.8%
Consumer Discretionary	9.4%	9.7%
Consumer Staples	5.3%	4.2%
Energy	1.9%	1.5%
Financials	10.8%	11.9%
Health Care	10.3%	10.5%
Industrials	9.6%	7.8%
Information Technology	34.7%	36.2%
Materials	2.1%	2.2%
Real Estate	2.0%	2.0%
Utilities	1.0%	1.1%
Other Assets Less Liabilities	0.1%	0.1%
	100.0%	100.0%

(g) Fair value hierarchy

The ETF classifies its financial instruments into three levels based on the inputs used to value the financial instruments. Level 1 securities are valued based on quoted prices in active markets for identical securities. Level 2 securities are valued based on significant observable market inputs, such as quoted prices from similar securities and quoted prices in inactive markets or based on observable inputs to models. Level 3 securities are valued based on significant unobservable inputs that reflect the Manager's determination of assumptions that market participants might reasonably use in valuing the securities. The tables below show the relevant disclosure.

As at Jun. 30, 2026	Level 1 (\$)	Level 2 (\$)	Level 3 (\$)	Total (\$)
Financial assets				
Equity Securities	200,967	—	0	200,967
Derivatives	—	2	—	2
Total	200,967	2	0	200,969

Financial liabilities				
Derivatives	—	(177)	—	(177)

As at Dec. 31, 2025	Level 1 (\$)	Level 2 (\$)	Level 3 (\$)	Total (\$)
Financial assets				
Equity Securities	180,324	—	—	180,324
Derivatives	—	146	—	146
Total	180,324	146	—	180,470

Financial liabilities				
Derivatives	—	(12)	—	(12)

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Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)
June 30, 2026

Transfers between levels

There were no transfers between the levels during the periods.

Changes in Level 3 fair value measurements

The following table presents a reconciliation of all Level 3 financial instruments during the periods ended June 30, 2026 and December 31, 2025, including realized and unrealized gains (losses) included in earnings.

For the periods ended	Jun. 30, 2026	Dec. 31, 2025
Financial Assets		
Equity Securities		
Opening Balance	—	—
Purchases/additions	0	—
Sales/deductions	—	—
Realized and unrealized gains/ (losses) included in earnings	(0)	—
Transfers in	—	—
Transfers out	—	—
Closing Balance	0	—
Change in unrealized gains or losses for Level 3 assets held at year end and included in other changes in fair value of investments and derivatives	(0)	—

The Manager has assessed the effect of changing the inputs to possible alternatives and determined that they would not have a significant impact on Net Assets of the ETF.

Level 3 additional disclosures:

The Level 3 positions held in the ETF were not considered significant.

(h) Offsetting financial assets and financial liabilities

The following tables present the amounts that have been offset in the Statement of Financial Position. Amounts offset in the Statement of Financial Position include transactions for which the ETF has a legally enforceable right to offset and intends to settle the positions on a net basis. There were no other master netting agreements in the ETF.

	Assets (\$)	Liabilities (\$)
As at Jun. 30, 2026		
Gross Amounts of Recognized Financial Assets (Liabilities)	2	(177)
Amounts Set-off in the Statement of Financial Position	(0)	0
Net Amounts Presented in the Statement of Financial Position	2	(177)
Related Amounts not Set-off in the Statement of Financial Position		
Financial Instrument	(2)	2
Cash Collateral Received (Pledged)	—	—
Net Amount	—	(175)

	Assets (\$)	Liabilities (\$)
As at Dec. 31, 2025		
Gross Amounts of Recognized Financial Assets (Liabilities)	146	(12)
Amounts Set-off in the Statement of Financial Position	(1)	1
Net Amounts Presented in the Statement of Financial Position	145	(11)
Related Amounts not Set-off in the Statement of Financial Position		
Financial Instrument	(11)	11
Cash Collateral Received (Pledged)	—	—
Net Amount	134	—

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